

Market Equilibrium Game Instructions

We are setting up a market, and you will be the buyers and sellers.

I will give each student a numbered playing card. I have removed the face cards so all cards have a number. You should not show your card to other people!

The buyer's cards are black (clubs or spades), and the seller's cards are red (hearts or diamonds).

Sellers

If you receive a red card, you are a seller for that round and can sell one time. The number on your card is the cost (in dollars) if you make a sale.

Your earnings are the price that you negotiate minus the cost number on the card (price – cost). If you do not make a sale, you do not earn anything or incur any cost in that period.

Buyers

If you receive a black card, you are buyer for that round and can buy one time. The number on your card is the benefit (in dollars) if you make a purchase.

Your earnings are the benefit number on your card and the price that you negotiate (benefit – price). If you do not make a purchase, you do not earn anything in that period.

Trading

Buyers and sellers will meet in the front/center of the room. They call out prices at which they are willing to buy or sell. Prices must be multiples of \$0.50.

When a buyer and a seller agree on a price, they come together to me at the front of the room. I will report the price to the class.

Then the buyer and seller turn in their cards, return to their original seats, record their earnings on the back of this sheet, and wait for the trading period to end.

In each round, negotiations and trading take place during a trading period that will last no more than 5 minutes. There will be several trading periods.

Earnings Record Sheet

Name _____

Section _____

(Use only left or right hand side of this form for each round depending on being a buyer or seller)

Seller Earnings (red cards)	Round	Buyer earnings (black cards)
Price_____ – Cost_____ = Earnings _____	Round 1	Value_____ – Price_____ = Earnings_____
Price_____ – Cost_____ = Earnings _____	Round 2	Value_____ – Price_____ = Earnings_____
Price_____ – Cost_____ = Earnings _____	Round 3	Value_____ – Price_____ = Earnings_____
Price_____ – Cost_____ = Earnings _____	Round 4	Value_____ – Price_____ = Earnings_____
Price_____ – Cost_____ = Earnings _____	Round 5	Value_____ – Price_____ = Earnings_____
Price_____ – Cost_____ = Earnings _____	Round 6	Value_____ – Price_____ = Earnings_____
Price_____ – Cost_____ = Earnings _____	Round 7	Value_____ – Price_____ = Earnings_____

Total Earnings for All Periods _____

Note: Price = price agreed with purchaser
Cost = value of red card

Note: Value = value of black card
Price = price agreed with seller